interventions are found there, by building better highways and managing highways better.

Example 11: Antibiotic resistance

Consider the problem of antibiotic resistance. There is a market failure here: When person X misuses antibiotics, and helps create antimicrobial resistance (AMR), she imposes an *externality* upon others. This increases healthcare costs for person Y, who is no longer able to get a swift and rapid solution for simple illnesses. Actions by person X have an adverse impact upon an innocent bystander Y, an impact which is not intermediated through market transactions. This is an externality, a market failure.

How could the state change things? One way is to go to the *consequence*. We could possibly pay a subsidy to person Y, to compensate for the increased cost of healthcare suffered by her. Alternatively, we could address the root cause, which is the abuse of antibiotics. It is better to change the incentives of the perpetrator, rather than redress the loss of the victim.

Occam's razor of public policy

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When getting hold of a larger object, don't discard the smaller object.
Don't use a sword when a needle will suffice.

Baba Rahim

In science, there is a concept named 'Occam's razor'. When two alternative explanations are equally effective at explaining the facts, we should favour